

The California Constitution provides that parties may contract in writing to set the interest rate on a loan or forbearance “at a rate not exceeding 10 percent per annum.” Cal. Const., art. XV, § 1, (1). In addition, it states that no person “shall by charging any fee, bonus, commission, discount or other compensation receive from a borrower more than the interest authorized by this section upon any loan or forbearance of any money, goods or things in action.” Cal. Const., art. XV, § 1. This plain language makes clear that the stated interest plus any additional “bonus” or “other compensation” cannot exceed the 10 percent rate. *Grados v. Shiau* (2021) 63 Cal.App.5th 1042, 1054.

The Loan’s present balance is over half a million dollars on an initial Loan of \$80,000 in principal, roughly ten years ago. That extraordinary amount of accrued interest is the result of the Loan’s interest term being an “auto-renewal” at 10% every 90 days. That is effectively a per *annum* interest rate of 40%. As structured, the Loan is usurious. The agreed upon reduction of the interest rate that is said to have occurred in or about December 2019, does not cure the issue. The reduced interest rate was then accruing on an amount already including interest accrued at a usurious rate. In any event, 3% per quarter is an effective 12% per annum interest, still usurious.

The Court finds that the rate of interest charged on the Loan was usurious and violated the usury laws. Therefore, Plaintiff is entitled to recover only the principal sum of the Loan, offset by any payments made. When a loan is usurious, the creditor is entitled to repayment of the principal sum only. *Hardwick v. Wilcox* (2017) 11 Cal.App.5th 975, 979 (“Hardwick”). The creditor is entitled to no interest whatsoever. *Id.*, citing *Gibbo v. Berger* (2004) 123 Cal.App.4th 396, 403. The attempt to exact the usurious rate of interest renders the interest provisions of a note void. *Hardwick, supra*, 11 Cal.App.5th at 979. Any interest payments made at the usurious rate must be credited against the principal balance in any action to collect on the note. *Id.* Payments on a usurious note are deemed to apply first to principal. *Hardwick, supra*, 11 Cal.App.5th at 991.

No exemption to the usury laws have been pled or proved up by Plaintiff. Nor does the Court conclude that Plaintiff can avoid the effect of the usurious Loan by couching recovery in terms of the other alleged torts. The application fails to make a *prima facie* showing of properly awardable damages under any of the other theories of recovery.

Disposition

The Court finds and orders as follows:

1. The Request for Entry of Default Judgment is DENIED, without prejudice to resubmittal to amend the amounts sought in accordance with the foregoing.
2. The Court shall issue the order after hearing.

3. 10:00 AM CASE NUMBER: C22-02634

CASE NAME: RENE HOM VS. ERIC TRUE

JURY TRIAL 5-7 DAYS

FILED BY:

TENTATIVE RULING:

Parties to Appear.

4. 9:00 AM CASE NUMBER: C22-02694

CASE NAME: JANE DOE VS. GERALD BEARDEN

***HEARING ON MOTION IN RE: ENFORCE THE SETTLEMENT AGREEMENT AND STIPULATION FOR JUDGMENT ENTERING PARTIAL JUDGMENT AGAINST DEFENDANT GERALD C. BEARDEN IN THE AMOUNT OF \$52,934.89**

FILED BY: DOE, JANE

TENTATIVE RULING:

Plaintiff Jane Doe ("Plaintiff") filed a Motion to Enforce the Settlement Agreement and Stipulation for Judgment on January 20, 2026 ("Motion to Enter Stipulated Judgment after Default"). The Motion to Enter Stipulated Judgment after Default was set for hearing on February 23, 2025. The motion is unopposed.

Background

The parties entered into that certain settlement agreement on or about October 30, 2025 (the "Settlement Agreement"), the terms of which included payment by the defendant Gerald C. Bearden ("Defendant") in the amount of \$100,000, to be paid in accordance with the terms thereof, including an initial installment payment of \$50,000 on or before November 28, 2025 (the "Payment Terms and Conditions"). See Declaration of Sandra Ribera Speed filed January 20, 2026 ("Supporting Declaration"), ¶12 *et seq.* and **Exhibit A** thereto. As part of the Settlement Agreement, the parties entered into a stipulation for entry of judgment in the event of a default. *Id.*, **Exhibit A**, ¶15 (and Exhibit A to the Settlement Agreement).

Analysis

Defendant defaulted on the Payment Terms and Conditions, at least as far as the first payment due. See Supporting Declaration, ¶¶13-4. Defendant failed to cure after notice. *Id.* at ¶14.

However, nothing in the Settlement Agreement and attached Stipulation for Judgment indicates that a judgment will be given for the first \$50,000 payment, subject, somehow to a later judgment for the additional \$50,000 if not paid. That second payment is not due until April 29, 2026 and the plain language of the Settlement Agreement contemplates entry of a judgment only if both payments are not made.

1. Defendant shall pay fifty thousand dollars (\$50,000), on or before November 28, 2025, and an additional fifty thousand dollars (\$50,000) on or before April 29, 2026, to Ribera Law Firm, APC, on behalf of Plaintiff;
2. Plaintiff shall only file or record this Stipulation for Judgment if the payment referenced in the preceding paragraph has not been paid by the due dates referenced;

Indeed, a partial judgment would be barred by the one-judgment rule. And there does not appear to be any sort of acceleration clause that would allow the entry of a judgment for the full \$100,000 amount at this time.